WORKSHEET

Chapter 7: Hire-purchase

1 Yolanda bought a jet ski priced at $10 500 on terms. She paid $1000 deposit, then monthly repayments of $515 for 2 years.

a Calculate the total amount Yolanda paid for the jet ski.

b How much interest did she pay?

c Calculate the simple interest rate charged per annum, to two decimal places.

2 An oven is advertised for $2100, or a $500 deposit, with monthly repayments of $150 for a year. Peeta can't afford to pay the $2100, so she buys the oven on the terms offered.

a How much did Peeta pay in total for the oven?

b How much interest did she pay?

c Calculate the simple interest rate charged per annum.

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3 Marissa wants to buy a new television on a hire-purchase scheme. The model she likes has a retail price of $1575. She finds the following offers advertised at two different stores.

- Mad Discount House: No deposit, monthly repayments of $70 for 3 years.
- Super Cheap Electronics: $500 deposit, monthly repayments of $60 for 2 years.

a Calculate how much Marissa would pay for the TV if she went with the deal from Super Cheap Electronics.

b Marissa realises she doesn't have enough money saved to pay a deposit, so she buys the TV at Mad Discount House on their terms. How much does she pay in total for the TV?

c How much would Marissa have saved if she had been able to buy the TV at Super Cheap Electronics?

4 Arbi needs to buy a bobcat for his landscape gardening business. He finds one advertised for $21 000 cash, or $5000 deposit and monthly repayments of $550 for 4 years. Arbi can't afford to pay the total cost now, so buys it on the terms offered.

a How much more will the bobcat cost than if he had paid cash for it?

b What is the flat rate of interest charged per annum?

5 Miho can't resist buying a pair of diamond earrings. She agrees to pay a deposit of $400 and $60 per month for 18 months.

a How much does Miho pay in total for the earrings?

b If the cash price for the earrings is $1200, calculate the flat rate of interest charged per annum, to two decimal places.

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6 Mario purchases a barbeque on terms. He pays no deposit, and monthly repayments are $50 per month for 2 years.

a How much does Mario pay in total for the BBQ?

b The cash price for the barbeque is $860. What is the flat rate of interest charged per annum for Mario's purchase? Give your answer to two decimal places.

7 Gweneth is renovating her bathroom. The total cost will be $18 500. She is borrowing the money from Happy Credit Union on the following terms:

- 15% deposit and 13.9% p.a. flat interest on the balance.

Repayments are made in equal monthly instalments over 5 years.

a How much will Gweneth be paying in total for her new bathroom?

b How much will Gweneth repay each month?

8 Archie borrowed money to pay for a 2-week cruise. The cash price of the holiday was $2800. Archie paid a deposit of $500 followed by weekly repayments for 6 months afterwards. If he was charged 21.5% p.a. simple interest on the loan, what were his weekly repayments?

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Answers

1 **a** $13 360

b $2860

c 15.05% p.a.

2 **a** $2300

b $200

c 12.5% p.a.

3 **a** $1940

b $2520

c $580

4 **a** $10 400

b 16.25%

5 **a** $1480

b 23.33%

6 **a** $1200

b 19.77%

7 **a** $29 428.88

b $490.48

8 $97.97

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